

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate	)	
Transmission System	)	Docket No. RM26-4-000
	)	

**COMMENTS OF THE
NORTH CAROLINA UTILITIES COMMISSION**

The North Carolina Utilities Commission (NCUC) submits these comments pursuant to the October 27, 2025 Advance Notice of Proposed Rulemaking (ANOPR) proposed by the Secretary of Energy and issued by the Federal Energy Regulatory Commission (FERC or Commission) to ensure the timely and orderly interconnection of large loads to the transmission system.

The NCUC acknowledges the policy priorities expressed by the Secretary of Energy, and agrees that ensuring efficient, timely, and non-discriminatory interconnection of large loads, including AI data centers, warrants prompt and thoughtful consideration by regulators, including the NCUC. However, the NCUC wants to make certain that FERC will not have jurisdiction over a core component of North Carolina’s regulation of bundled retail electric service: the interconnection of new load.

It is important to note that North Carolina has not made the policy decision for its electric utilities to join an organized wholesale market. Instead, North Carolina maintains a robust structure of oversight and public participation that, in several key respects, exceeds the transparency and accountability requirements found in regional transmission organizations (RTOs). The NCUC notes that it understands the impetus for the ANOPR but has concerns about the unintended consequences.

While the ANOPR states that the proposed action would “avoid even arguably affecting the States’ jurisdiction over generation facilities, facilities used in local distribution, or only for the transmission of electric energy in intrastate commerce,” the NCUC remains concerned that invoking the Commission’s “seven-factor test” to delineate transmission from local distribution could, in practice, redefine portions of retail service connections as FERC-jurisdictional.¹ The NCUC is also concerned about the proposed 20 MW large load threshold. For these reasons, the NCUC urges that any FERC rulemaking affirmatively preserve the bright jurisdictional line drawn by the Federal Power Act so that North Carolina and other states can be assured that they will retain jurisdiction over generation facilities, facilities used in local distribution and for the transmission of electric energy in intrastate commerce.

North Carolina has already taken decisive steps to address the very challenges this ANOPR purports to solve:

1. In its 2024 Carbon Plan and Integrated Resource Plan (CPIRP) Proceeding, the NCUC allowed Duke Energy Carolinas, LLC and Duke Energy Progress, LLC (together, Duke) to re-file and adjust their planning assumptions when updated economic-development forecasts, including data centers, materially changed the projected load forecast.² The final order issued by the NCUC on November 1, 2024 required Duke to file semiannual large-load reports to monitor new economic-development activity and large customer

¹ ANOPR at P18.

² Order Scheduling Public Hearings, Establishing Interventions and Testimony Due Dates and Discovery Guidelines, Requiring Public Notice, And Providing Direction Regarding Duke’s Supplemental Modeling, Docket No. E-100, Sub 190 (N.C.U.C. Jan. 17, 2024), available at <https://starw1.ncuc.gov/NCUC/ViewFile.aspx?Id=c662e06e-6a74-4635-b84a-1ef62fe216d0>

additions.³ Pursuant to that directive, Duke submitted its first Semi-Annual Update Report on May 15, 2025, showing that the portfolio of “advanced development” projects had expanded by approximately 50 percent (roughly 2,000 MW) since mid-2024.⁴ These reports, filed every six months, ensure that the NCUC receives timely updates on large-load growth, including data centers.

2. On June 6, 2025, the NCUC issued an Order Initiating Proceeding and Requesting Comments to obtain information regarding the forecasted tremendous increase in large load projects, including data centers and manufacturing facilities, and how to fairly and efficiently integrate the additions in North Carolina.⁵ The NCUC subsequently held a two-day technical conference with representatives from Duke Energy, Dominion Energy, the Public Staff - North Carolina Utilities Commission, the Data Center Coalition, large-load customers, and numerous other stakeholders to explore potential frameworks for integrating new industrial and data-center load growth.
3. The NCUC will soon revisit these same issues in the current Carbon Plan Integrated Resource Plan (CPIRP) proceeding and Duke Energy’s rate cases, where issues about how new-load integration costs should be allocated within North Carolina’s bundled-rate structure are expected to be raised. These proceedings, held under state law and subject to

³ Order Accepting Stipulation, Granting Partial Waiver of Commission Rule R8-60a(D)(4), and Providing Further Direction For Future Planning, Docket No. E-100, Sub 190 (N.C.U.C. Nov. 1, 2024), available at: <https://starw1.ncuc.gov/NCUC/ViewFile.aspx?Id=cfc6d586-12e4-447f-a552-757d6e73c30e>

⁴ *Semi-Annual Update Report on Large-Load Customer Additions in Advanced Stages of Development – Spring 2025*, Docket No. E-100, Sub 207 (N.C.U.C. May 15, 2025), available at: <https://starw1.ncuc.gov/NCUC/ViewFile.aspx?Id=5f4a1679-2efa-423e-ace8-f1b105487106>

⁵ Docket No. E-100, Sub 208 (N.C.U.C. Jun. 6, 2025), available at: <https://starw1.ncuc.gov/NCUC/ViewFile.aspx?Id=e11bad51-1ebd-4237-acf7-358c292be069>

full evidentiary review, provide the appropriate venue for determining the prudence and timing of utility investments necessary to serve new demand, including data centers.

The NCUC further points out that North Carolina has previously provided valuable procedural innovation to FERC. North Carolina implemented a cluster-based generator interconnection study process in 2021, three years before FERC issued Order No. 2023 in July 2024. North Carolina also maintains a steady pipeline of new generation resources developed through our CPIRP process, which is coupled with the Certificate of Public Convenience and Necessity process for individual facilities and subsequent rate-case cost-recovery proceedings. Each step includes multiple layers of scrutiny (including local hearings open for public attendance and vital oversight by the NCUC's independent consumer advocate division, the Public Staff) ensuring that the proposed projects are necessary, cost-effective, and consistent with least-cost, reliable service. Together, these proceedings demonstrate that North Carolina's regulatory framework is already actively, effectively, and efficiently managing large-load integration in a transparent, least-cost, and reliability-focused manner.

The NCUC agrees with the fourteenth planning principle discussed in the ANOPR, which emphasizes that utilities serving large loads must comply with all applicable NERC reliability standards and OATT provisions.⁶ The NCUC concurs that maintaining reliability for energy-intensive customers such as data centers is a critical and shared responsibility. To that end, the NCUC supports enhanced federal–state communication to ensure reliability of the Bulk Electric System while respecting existing jurisdictional boundaries. The NCUC concurs that NERC's

⁶ ANOPR at P31.

review of potential new registration categories and reliability standards is an appropriate avenue for addressing these concerns.

The NCUC respectfully requests that FERC give full consideration to these comments as it formulates any subsequent Notice of Proposed Rulemaking.

Dated this 20th of November, 2025

Respectfully submitted,

NORTH CAROLINA UTILITIES COMMISSION

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